

Insolvency Risk Assessment Report

Test Corp (COMP_TEST)

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Executive Summary

Risk Category	Probability of Distress	Altman Z-Score
High	98.5%	1.09 (Distress)

Estimated Time to Financial Distress: 1 years

Top Risk Drivers

The following factors contribute most significantly to the risk assessment, based on SHAP (SHapley Additive exPlanations) analysis:

Rank	Risk Factor	Value	Impact	Direction
1	Working Capital To Total Assets	0.0500	+4.1774	↑ Increases Risk
2	Retained Earnings To Total Assets	-0.1000	+0.0000	↓ Decreases Risk
3	Ebit To Total Assets	0.0200	+0.0000	↓ Decreases Risk
4	Market Value Equity To Total Liabilities	0.5000	+0.0000	↓ Decreases Risk
5	Sales To Total Assets	0.8000	+0.0000	↓ Decreases Risk
6	Current Ratio	0.9000	+0.0000	↓ Decreases Risk
7	Quick Ratio	0.5000	+0.0000	↓ Decreases Risk
8	Debt To Equity	2.5000	+0.0000	↓ Decreases Risk

9	Interest Coverage	1.2000	+0.0000	↓ Decreases Risk
10	Net Profit Margin	-0.0500	+0.0000	↓ Decreases Risk

Recommendations

- **URGENT:** Immediate financial restructuring is recommended. Consider engaging a turnaround specialist or financial advisor.
- Review and renegotiate existing debt obligations to improve cash flow.
- Implement cost reduction measures across all departments.
- Improve working capital management through better inventory and receivables management.

Disclaimer: This report is generated by an automated system using machine learning models. The predictions and recommendations should be used as one input among many in financial decision-making. Always consult with qualified financial professionals before making significant business decisions.